CHAPTER 9

# FINANCIAL MANAGEMENT

**CHAPTER ESSENCE AT A GLANCE:**
Maximize shareholder wealth: three core financial decisions (investment, financing, dividend), trading on equity and financial leverage, fixed capital vs working capital determinants.

## 4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Wealth Maximization Objective:** The primary objective of financial management is to maximize current market price of company equity shares, aligning with shareholder wealth maximization.

• **Tripartite Financial Decisions:** Investment decision (capital budgeting allocating funds to long-term assets), Financing decision (debt vs equity capital structure mix), and Dividend decision (retained earnings vs payout).

• **Trading on Equity (Financial Leverage):** Employing fixed-cost borrowed funds (debentures, loans) to increase return on equity (Earnings Per Share) when Return on Investment exceeds the interest borrowing rate.

• **Working Capital & Operating Cycle Determinants:** Working capital requirements depend on nature of business (manufacturing vs trading), scale of operations, operating cycle length, credit policy, and seasonal factors.

## ESSENTIAL FORMULAS & GOVERNING EQUATIONS

$$\text{Trading on Equity Condition} \iff \text{Return on Investment (ROI)} > \text{Cost of Debt (Interest Rate)}$$

*Favourable Financial Leverage Criteria*

$$\text{Earnings Per Share (EPS)} = \frac{\text{Net Profit After Tax} - \text{Preference Dividend}}{\text{Number of Equity Shares Outstanding}}$$

*Shareholder Equity Profitability Metric*

$$\text{Financial Management Objective} \iff \max(\text{Market Price per Equity Share})$$

*Shareholder Wealth Maximization Target*

$$\text{Operating Cycle Length} = \text{Raw Material Days} + \text{WIP Days} + \text{Finished Goods Days} - \text{Debtor Days} - \text{Creditor Days}$$

*Cash Conversion Cycle Working Capital Model*

## CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Trading on equity is favorable ONLY when ROI exceeds the interest rate on debt; if ROI is lower than the borrowing rate, debt reduces EPS and causes financial distress.

• **Alert:** Capital budgeting decisions involve huge long-term funds and are irreversible except at massive financial loss; hence, they require rigorous analytical scrutiny.

• **Alert:** A company with high stable cash flows can afford more debt financing, while a company with volatile unpredictable cash flows must rely primarily on equity.

## HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

**1. What is the primary objective of Financial Management? Why is it superior to mere profit maximization? [Score: 2 Marks]**

**Answer & Key Valuation Steps:**

• **Primary Objective:** Maximization of Shareholder Wealth, measured by maximizing the market price of the company's equity shares. **[1 Mark]**

• **Superiority over Profit Maximization:** Wealth maximization considers the time value of money, operational business risks, and long-term sustainability rather than short-term accounting profits. **[1 Mark]**

**2. Explain Capital Budgeting Decisions. Why are they considered crucial for an enterprise? [Score: 2 Marks]**

**Answer & Key Valuation Steps:**

• **Definition:** Long-term investment decisions regarding allocating capital funds into fixed assets or new industrial projects. **[1 Mark]**

• **Crucial Nature:** They involve substantial financial commitments, influence long-term earning capacity, and are irreversible except at huge capital loss. **[1 Mark]**

**3. Explain the concept of Trading on Equity. State the essential condition required for it to be favorable to equity shareholders. [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **Concept:** Using fixed-cost financial securities (debentures and preference shares) in the capital structure to increase Earnings Per Share (EPS) for equity holders. **[1.5 Marks]**

• **Favorable Condition:** It works favorably only when Return on Investment (ROI) is strictly greater than the rate of interest on debt (ROI > Cost of Debt). **[1.5 Marks]**

**4. Company A has total capital of Rs 30,00,000 consisting entirely of Equity Shares of Rs 10 each. Company B has Rs 10,00,000 Equity and Rs 20,00,000 in 10 percent Debentures. Both earn EBIT of Rs 6,00,000. Tax rate is 30 percent. Calculate EPS for both companies and identify which company benefits from financial leverage. [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **Company A (No Debt):** EBIT Rs 6,00,000 - Tax (30 percent = Rs 1,80,000) = PAT Rs 4,20,000. EPS = Rs 4,20,000 divided by 3,00,000 shares = Rs 1.40. **[1 Mark]**

• **Company B (With Debt):** EBIT Rs 6,00,000 - Interest Rs 2,00,000 = PBT Rs 4,00,000. Less Tax (30 percent = Rs 1,20,000) = PAT Rs 2,80,000. EPS = Rs 2,80,000 divided by 1,00,000 shares = Rs 2.80. **[1 Mark]**

• **Leverage Verdict:** Company B doubles its EPS (Rs 2.80 vs Rs 1.40) because ROI (Rs 6,00,000 divided by Rs 30,00,000 = 20 percent) exceeds the debt cost of 10 percent. **[1 Mark]**

**5. State any three factors that affect the Dividend Decision of a joint stock company. [Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **Amount of Earnings:** Current and past earnings form the primary source and ceiling for paying dividends. **[1 Mark]**

• **Cash Flow Position:** A company needs sufficient liquid cash funds, not just accounting profits, to disburse dividend payments. **[1 Mark]**

• **Growth Opportunities:** Companies with attractive capital expansion projects retain higher profits and pay lower dividends. **[1 Mark]**

**6. Explain any three factors that determine the Working Capital requirement of an industrial enterprise.** **[Score: 3 Marks]**

**Answer & Key Valuation Steps:**

• **Nature of Business:** Manufacturing units require large working capital for raw materials and processing; trading concerns require relatively less. **[1 Mark]**

• **Scale of Operations:** Large-scale organizations need substantial working capital to maintain high volumes of stock and trade debtors. **[1 Mark]**

• **Operating Cycle:** Longer time lag between purchasing raw materials and receiving cash from sales demands higher working capital. **[1 Mark]**

**7. Explain the three major financial decisions executed by a financial manager: Investment Decision, Financing Decision, and Dividend Decision.** **[Score: 4 Marks]**

**Answer & Key Valuation Steps:**

• **Investment Decision (Capital Budgeting):** Allocating scarce financial resources across long-term fixed assets and short-term working capital to generate maximum returns. **[1.5 Marks]**

• **Financing Decision (Capital Structure):** Determining the proportion of debt and equity capital to raise, balancing financial cost against risk. **[1.25 Marks]**

• **Dividend Decision (Profit Appropriation):** Deciding how much of net profit after tax should be distributed to shareholders as dividends and how much retained for future growth. **[1.25 Marks]**